higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

NATIONAL CERTIFICATE (VOCATIONAL)

ENTREPRENEURSHIP
NQF LEVEL 2

(3021042)

12 March 2019 (X-Paper)
09:00–11:30

This question paper consists of 9 pages.

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TIME: 2½ HOURS
MARKS: 100

INSTRUCTIONS AND INFORMATION

1. Answer ALL the questions.
2. Read ALL the questions carefully.
3. Number the answers according to the numbering system used in this question paper.
4. Write neatly and legibly.

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SECTION A

QUESTION 1

Various options are given as possible answers to the following questions. Choose the answer and write only the letter (A–D) next to the question number (1.1–1.15) in the ANSWER BOOK.

1.1 A/An … assesses whether your goals are achievable.

A financial plan
B marketing plan
C business plan
D operational plan

1.2 A … indicates a specific period within which a task needs to be completed.

A time frame
B plan of action
C roster
D schedule

1.3 An essential requirement for becoming a successful entrepreneur is …

A promotions.
B customer service.
C cultural skills.
D management skills.

1.4 … is the identification, collection and analysing of information to help a business with decision making.

A A research project
B A survey
C Marketing research
D A sample

1.5 The instrument one can use to investigate the internal environment of a business is …

A the break-even point.
B the SWOT analysis.
C a questionnaire.
D a relevant graph.

1.6 … is/are an example of a business' current assets.

A A bank overdraft
B Debtors
C Tax
D Creditors

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1.7 … can be regarded as a threat in the SWOT analysis.

A A new product range
B New competitors
C No major debts
D Unskilled employees

1.1.8 … is NOT one of the categories of the business environment.

A Customers
B Competitors
C A cultural force
D An enterprise

1.9 … refers to money or assets that are used by a business.

A Cash flow
B Profit
C Capital
D Market share

1.10 … saves money and time and guides you as to what must be achieved.

A Prioritising
B Capturing
C Listing
D Tasking

1.11 … is/are regarded as a political challenge in the business environment.

A Technology
B Tax changes
C Pollution
D Globalisation

1.12 … is one of the most important functions that the entrepreneur must perform.

A Designing
B Marketing
C Targeting
D Listing

1.13 … is not included in the marketing mix.

A Product
B Price
C Promotion
D Planning

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1.14 The department(s) which you will find in the business:

A Finance
B Marketing
C Production
D All of the above

1.15 … refer(s) to the people and departments of the business and how they work together.

A External environment
B Employees
C Internal environment
D Operational profile

(15 × 1) **[15]**

QUESTION 2

Indicate whether the following statements are TRUE or FALSE. Choose the answer and write only 'True' or 'False' next to the question number (2.1–2.15) in the ANSWER BOOK.

2.1 Entrepreneurs are able to see opportunities where many other people only see problems and difficulties.

2.2 A business has control over the macro-environment.

2.3 Secondary data is information specifically gathered for the current projects.

2.4 Salaries, rent and electricity are all examples of variable costs.

2.5 A task list helps a person to focus on what needs to be done to achieve results.

2.6 Goals reduce uncertainty.

2.7 Recession is a component in the external environment and it affects the business negatively.

2.8 The financial plan describes your specific target market.

2.9 The title page is the first page of a business plan.

2.10 Entrepreneurs need a variety of skills, values and attitudes to be successful.

2.11 Technical skills of an entrepreneur include organising people, assets, equipment and stock.

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2.12 A business plan, contingency plan deals with threats and how they will be controlled, managed and avoided.

2.13 Convenience is one of the factors influencing pricing.

2.14 Attitudes of potential customers are not influenced by various factors found in the business environment.

2.15 A cover page includes the name, address and telephone number of the business.

(15 × 1) **[15]**

TOTAL SECTION A: 30

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SECTION B

QUESTION 3

Read the extract below and answer the questions.

Mikie Monoketsi is a determined woman. After her first business was shut down, she did not let this get in her way of starting another one. Instead of waiting for funding, Mikie used her past experience as a business owner and entrepreneur to open another business selling spices and herbs.

Mikie had a call centre, which was outsourced by various insurance and customer service companies, but unfortunately it was not successful. 'After the business shut down, the thought of working for someone after I have had my own business for years was too daunting', she explains. She says she had R10 000 to start a new business and after doing some research, she realised that the spices people were using in their cooking were not only cheap, but of poor quality and contained a high level of salt.

'This gave me an idea to create my own unique blend of healthier spices and herbs that would complement African food. The products are of a better quality, have health benefits and are affordable. I also use the customers' feedback to adjust the spices' ingredients to their liking', says Mikie. She says her research showed that her potential clientele would be spaza shops, eateries, butcheries and taverns in townships. She admits that she is facing many challenges. A manufacturing facility and proper certification of the products are needed.

Mikie's business has grown in leaps and bounds and she recently expanded it with herbal teas. She says she is attracting customers through word of mouth and through marketing her business on social media. 'I have learnt to be more vigilant and open to customers', she says.

[Adapted form *Move Magazine,* dated 15 February 2017]

3.1 Discuss the following characteristics of an entrepreneur with specific reference to Mikie:

3.1.1 Identifying opportunity

3.1.2 Risk-taking

3.1.3 Eager to learn

(3 × 2) (6)

3.2 How would the following components of a business plan assist Mikie in her business?

3.2.1 Marketing plan (3)

3.2.2 Financial plan (2)

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3.3 Name FOUR management functions which Mikie has to perform to assist with the success of her business. (4)

3.4 3.4.1 Will Mikie successfully compete in the market? State only YES or NO. (1)

3.4.2 State TWO reasons to justify your answer in QUESTION 3.4.1. (2 × 1) (2)

3.5 Explain how the following aspects of the external environment will impact on Mikie's spices and herbs business:

3.5.1 Political challenges

3.5.2 High inflation rate

3.5.3 Unemployment

(3 × 2) (6)

3.6 Mikie has identified a unique business which deals with spices and herbs.

Explain TWO methods she can use to protect her innovation. (2 × 2) (4)

3.7 Explain the meaning of *word of mouth,* which is one of Mikie's promotional tools. (2)

3.8 Explain to Mikie the meaning of prioritising tasks. (2)

3.9 Mikie decides to expand her business to form a partnership.

State THREE advantages of forming a partnership. (3)
[35]

QUESTION 4

4.1 The following costs are included in Mikie's financial projections for the first month of operations. Use the information to calculate the costs below:

Spicy food suppliers - R2 300
Mikie's salary - R3 700
Rental for the premises - R2 100
Telephone account - R1 800
Insurance premium - R400
Cleaning materials - R170

4.1.1 Variable costs (3)

4.1.2 Fixed costs (3)

4.1.3 Total costs (2)

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4.2 In September Mikie runs a sales promotion for heritage month, by giving 15% discount on spice baskets. The normal selling price is R150 per 5 kg basket. She estimates selling at least 30 baskets during the promotion.

Calculate the following and show ALL the calculations:

4.2.1 Selling price per basket after discount (4)

4.2.2 Total sales for September (2)

4.3 State TWO ways in which Mikie should manage and control stock in her small business. (2 × 2) (4)

4.4 Define the term *gross profit.* (1)
[19]

QUESTION 5

5.1 State TWO possible limitations (weaknesses) of Mikie's business venture and indicate how she can overcome these limitations. (4)

5.2 Explain to Mikie the value of using and maintaining a task list. (2)

5.3 Give TWO tasks that she has to complete in the course of a day. (2)

5.4 Explain how a mentor would help Mikie in her operations. (2)

5.5 It is important for Mikie to have the right skills, personality traits and values in order to be a successful entrepreneur.

Differentiate between *skills* and *values*. Give an example of each. (4)

5.6 Define *competitive advantage*. (2)
[16]

TOTAL SECTION B: 70
GRAND TOTAL: 100

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